HSBC Global Investment Research

14 August 2026

THIS CONTENT MAY NOT BE DISTRIBUTED TO MAINLAND CHINA

Global Rates Ideas

EM & DM

Fixed Income
Rates

Global

- Upcoming duration supply could steepen THB curves further
- The EUR market's reluctance to price in ECB rate cuts keeps ESTR 5Y5Y forwards vulnerable to energy prices
- Bank Indonesia's latest dovish tilt remains to be tested

Pin Ru Tan
Head of APAC Rates Strategy
The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch
pin.ru.tan@hsbc.com.sg
+65 6658 8782

Soumya Mohanty, CFA
Analyst, APAC Rates Strategy
HSBC Securities and Capital Markets (India) Private Limited
soumya.ranjan.mohanty@hsbc.co.in
+91 80 6827 3548

Chris Attfield
European Rates Strategist
HSBC Bank plc
chris.attfield@hsbcib.com
+44 20 7991 2133

EM and DM trade ideas and strategy

Thailand: THB 2-10Y NDOIS steepener *Page 3*
Investor demand has weakened at recent ThaiGB auctions. The impending e-switch and long-dated bond supply may lead to incremental curve steepening pressure.

Eurozone: why 5Y5Y yields are so high *Page 5*
We don't see core 5Y5Y forwards as attractive despite their high level. Uncertainty about geopolitics and the 'true' neutral level means markets are reluctant to price in rate cuts, leaving 5Y5Y ESTR at the mercy of energy prices. The Fed risk premium could also be playing a factor as long-end EZ and US rates tend to correlate.

Indonesia: An unsurprising dovish tilt *Page 7*
Bank Indonesia has turned more accommodative in its liquidity operations since Perry Warjiyo's resignation as central bank governor. The dovish tilt has yet to be tested though, as global conditions have been benign for emerging market assets over the past two weeks.

The week ahead: Events and views

For trades closed in this publication please see *Table 3* on page 19.

Contents

EM & DM trades and views

Soumya Mohanty, CFA
Analyst, APAC Rates Strategy
HSBC Securities and Capital Markets (India) Private Limited
soumya.ranjan.mohanty@hsbc.co.in
+91 80 6827 3548

Pin Ru Tan
Head of APAC Rates Strategy
The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch
pin.ru.tan@hsbc.com.sg
+65 6658 8782

THB 2-10Y NDOIS steepener

- Thailand remains the most vulnerable EM country to higher energy prices
- Dovish monetary policy bias should continue to anchor front-end rates
- Long-end rates are more vulnerable to the impending rise in bond supply

Table 1. THB 10-2Y NDOIS steepener

Trade	Entry (date)	Target	Stop	3m C+R	Rationale	Risk
Rec **Thailand** THB 2Y NDOIS Pay **Thailand** THB 10Y NDOIS	84bp (13-Aug-26)	95bp	78bp	+2.7bp	Higher net supply coupled with negative seasonality, weaker demand ahead of duration supply	Sharp rally in global long-dated rates

Source: Bloomberg, HSBC

Front-end rates are likely to remain anchored

We recently initiated a THB 10-2Y NDOIS steepener trade idea with a target of 95bp and stop at 78bp (see *Thailand Rates: Steepening bias*, 13 August 2026). As our colleagues have discussed in *Global Emerging Markets, Strait through the noise* (11 August), Thailand remains the most vulnerable country in EM to higher energy prices, both in terms of oil and gas intensity of GDP and the oil passthrough to inflation. This combination makes us think it is unlikely that the Bank of Thailand will deliver hawkish rhetoric anytime soon, which should leave front-end rates anchored, while fiscal and inflation premium continues to be priced at the long end of the curve.

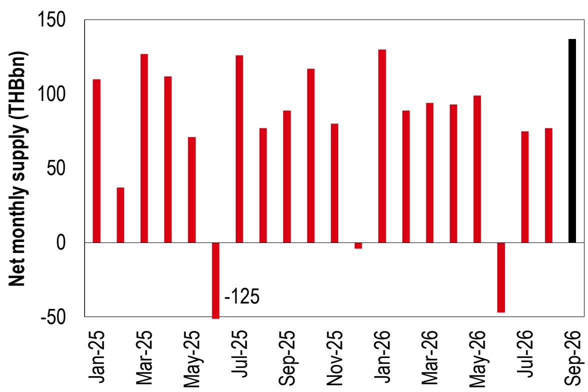
Higher net supply coupled with negative seasonality

Net monthly ThaiGB supply will be the highest in September

We are in the fourth quarter of Thailand's fiscal year; in previous years, net issuance has typically been lower in September than in July or August. However, this year, net government bond supply is set to rise to THB137bn in September, up from THB77bn in July, marking the largest monthly net supply on record (Figure 1).

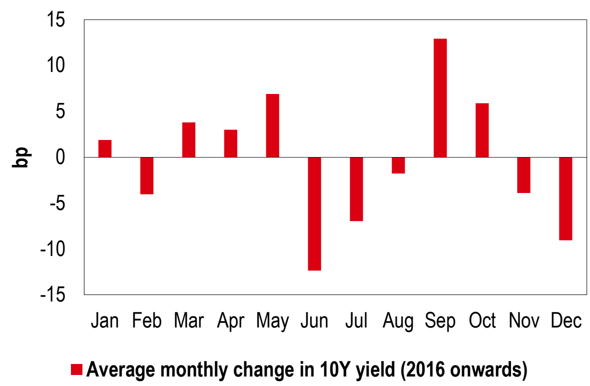
September tends to exhibit strong seasonality, with the largest average monthly rise in yields (Figure 2). This reflects market participants' caution ahead of the public debt management office's bond supply announcement for the next fiscal year. It may be no different this year, with the large net supply scheduled during the month posing another drag on investor sentiment.

Figure 1. Net ThaiGB supply



Source: BoT, HSBC

Figure 2. ThaiGB yield seasonality



Source: Bloomberg, HSBC

Weaker demand for bonds

ThaiGB auction demand has softened in August following the strong bid-to-cover (b/c) outcomes seen in July (Figure 3). The maturity of LB267A on 7 July worth THB49bn likely helped to boost reinvestment demand for bonds, while Bank of Thailand also bought THB11.7bn of ThaiGBs in July, which is equivalent to c16% of net ThaiGB supply during the month.

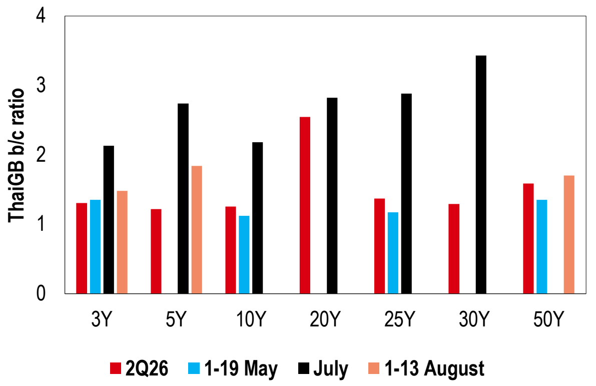
B/C ratio at the auctions has declined from July highs

So far in August, the bid-to-cover ratios have slipped back towards the levels observed in the auctions leading into the May e-switch, reflecting a loss of momentum in demand. At the e-switch in May, the PDMO partially accepted 63% of the offered size and the cut-off yields across the destination bonds were 6-9bp higher compared to the previous-day closing yields (Figure 4). The next e-switch auction is due on 19 August and duration supply will stay relatively heavy until early September, with THB8bn of LB556A and THB8bn of LB506A due to be auctioned on 26 August and 2 September, respectively.

Meanwhile, non-resident investors sold USD910m of ThaiGBs in June and July, of which USD620m were in 10Y and longer-dated bonds. Net foreign buying of USD305m was observed in the first week of August, though it was predominantly in the 1-5Y segment.

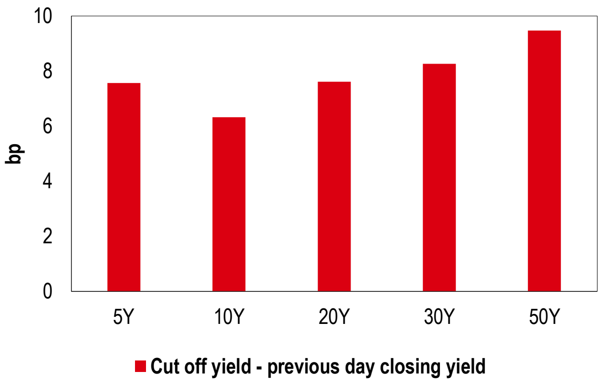
Risks to the trade: Global duration outperformance is a key risk to our trade idea.

Figure 3. Auction demand has weakened in August



Source: BoT, HSBC

Figure 4. Performance at the last e-switch auction in May 2026



Source: PDMO, HSBC

Chris Attfield
European Rates Strategist
HSBC Bank plc
chris.attfield@hsbcib.com
+44 20 7991 2133

Eurozone: why 5Y5Y yields are so high

- 5Y5Y forwards in core curves seem very high compared to estimates of the neutral rate – but we don't see this as a buying opportunity yet
- With energy prices dominating and the market reluctant to price cuts too soon, long-end forwards have been pushed higher as the market has become more hawkish
- Given the chance that the 'new neutral' lies above current estimates, for now we expect energy prices to keep driving 5Y5Y forwards as well as short rates

In search of the 'new normal'

5Y5Y ESTR is over 60bp above the upper bound of the ECB's neutral rate

5Y5Y forward rates in the eurozone seem excessively high (Figure 5). This is usually interpreted as the market's estimate of the long-term neutral rate, but it is currently over 60bp above the upper bound of the ECB's neutral range estimate (Chief Economist Philip Lane indicated that the upper bound for this range has 'crept up' from 2.25% to 2.50% in a Reuters interview on 26 June 2026).

Even incorporating term premium, this seems too high…

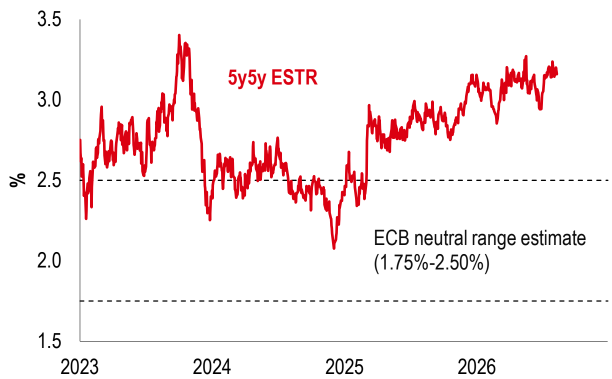
…but we think investors should be cautious

Of course, the 5Y5Y rate also incorporates term premium. But it is around 100bp higher than the central estimate: as a comparison, the ACM term premium for the US Treasury curve has averaged c67bp since April 2025 and not been above 100bp for over a decade. And, while it can be argued that the German fiscal package announced in March 2025 may have increased the nominal neutral rate, the impact was internalised by the market at least a year ago, and 5Y5Y ESTR has moved up by over 30bp since that point. Is this an opportunity to receive long-end forwards – particularly with Bund yields not far from to their YTD highs? We don't think so, and set out below why we are cautious.

The 5Y5Y rate is driven by short-term policy expectations

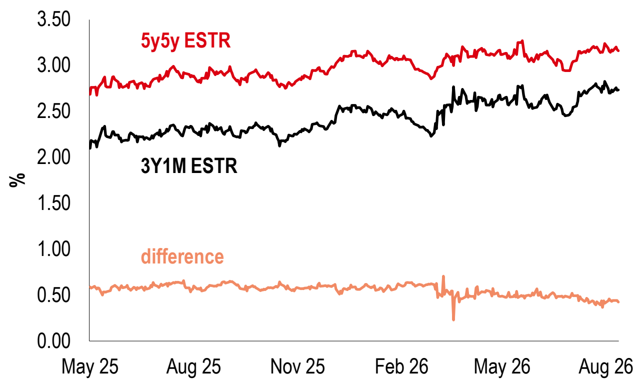
In a market where investors have a settled view on the neutral rate, we might expect it to act as an anchor. After all, in our 'pure expectations' approach, fair value for the 5Y5Y forward depends only on the neutral rate assumption. This would result in far less price volatility in the 5Y5Y forward rate than we actually see. In the same way that the ECB views the neutral rate as too nebulous a concept to base policy decisions upon, the market does not have sufficient certainty in its value to anchor the long end in this way.

Figure 5. 5Y5Y is high compared to 'neutral range'



Source: Bloomberg, HSBC

Figure 6. 5Y5Y ESTR following 3Y expectations



Source: Bloomberg, HSBC

The short-term path of ECB policy rates is feeding through into long-term forwards

So how does it behave in real life? The 5Y5Y rate shows a strong correlation to 3Y rate expectations (Figure 6: the sensitivity becomes less as rates rise to 3%, as we discuss below). And because the market is pricing in rate hikes, but not cuts, the 3Y forward rate is just the sum of hikes expected in the shorter term. This means that the short-term path of ECB policy rates directly feeds through into the level of long-term forwards, causing 5Y5Y forwards to be driven higher as the market has become more hawkish. It also means that the curve has been reluctant to bear flatten further, instead moving mostly in parallel (see week-ahead, *page 8*).

The market is reluctant to price cuts due to geopolitical uncertainty and rates that are still not restrictive

We don't think the market will price in cuts until it thinks policy rates are sufficiently restrictive that hikes will be reversed within 12 months. In 2023, that transition happened at a level of c3%, aided by the robust delivery of rate hikes from the ECB (Figure 7). Today, market pricing is still a full 25bp short of that level. Three sources of uncertainty feed into this reluctance to price cuts: (1) The 'true' level of the nominal neutral rate; (2) the duration and severity of the Middle East conflict's impact on energy prices; and (3) the ECB's reaction function to energy price shocks, which is dependent on the possible emergence of second-round effects.

Oil and the US

At this point, a further rise in oil or gas prices could push yields to new highs

We think that the rates market is currently being driven by the price of energy more than ECB expectations. With the Middle East conflict dominating the headlines, it is difficult to see this correlation with fossil fuels lessening, especially as Europe seeks to replenish its depleted gas reserves ahead of winter. Although what is priced is overly hawkish, in our view, a further rise in oil or gas prices could easily push Bund yields (and 5Y5Y ESTR forwards) to new highs.

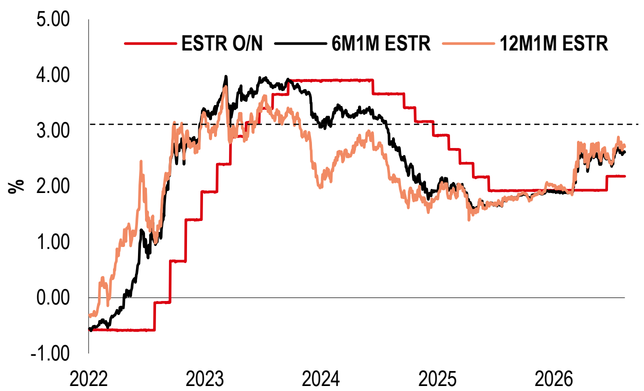
5Y5Y forwards also tend to move with the US – and policy uncertainty there could matter

There is also uncertainty from the US. With the market still feeling out the new leadership stance at the Fed, there is a chance Chair Wash's remarks at Jackson Hole (August 27–29) or the Fed's decision in September could cause significant repricing. Weakness in long-end US yields since the end of June may have been due to a risk premium related to Fed credibility, and hawkish talk or action could compress this risk premium. In the long term, 5Y5Y yields in the US and eurozone have tended to trade at related levels (Figure 8).

Conclusions

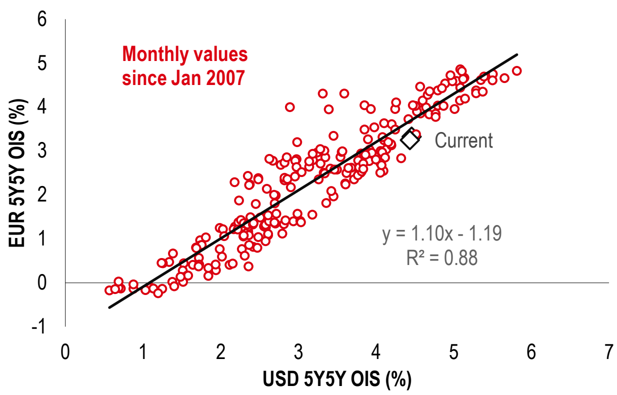
The high level of 5Y5Y ESTR reflects genuine uncertainty as to the "new neutral": there is little probability that it lies below 2%, and it could be substantially higher. The 5Y5Y forward is still sensitive to short-term rate expectations, which are being driven by energy prices. We expect this sensitivity to continue until either the market can see the end of the hiking cycle or rates are clearly restrictive, which probably means an implied deposit rate of 3%. At present, there is still substantial two-way risk in long-end forwards, driven by geopolitics but also Fed uncertainty.

Figure 7. Market only priced cuts above 3% in 2023



Source: Bloomberg, HSBC

Figure 8. 5Y5Y USD and EUR: long-term correlation



Source: Bloomberg, HSBC. EONIA forwards used for historical compatibility

Pin Ru Tan
Head of APAC Rates Strategy
The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch
pin.ru.tan@hsbc.com.sg
+65 6658 8782

Indonesia: An unsurprising dovish tilt

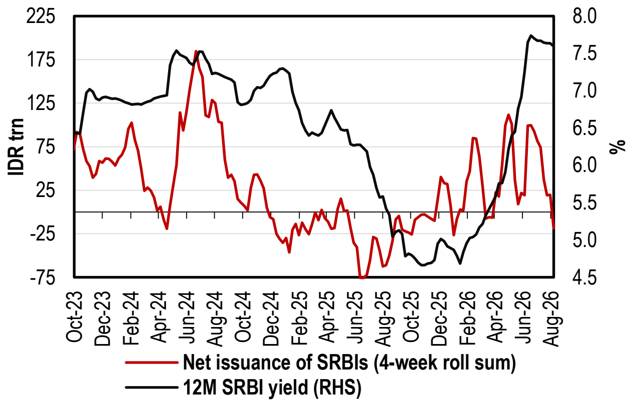
- Bank Indonesia and the Ministry of Finance have stepped up their coordination to boost interbank liquidity since Perry Warjiyo's resignation as central bank governor
- The dovish tilt has yet to be tested given benign global conditions over the past two weeks
- Fiscal uncertainty has risen with the delay in e-commerce income tax and the design of an extra fiscal stimulus package to mitigate El Niño impact

Since Perry Warjiyo's resignation as Bank Indonesia governor on 27 July, Indonesia's overnight rate has retraced notably lower, reflecting joint coordination between the central bank and the Ministry of Finance to boost interbank liquidity. The central bank has been issuing fewer central bank bills (SRBI) and buying more IndoGBs (Figures 9 and 10). Meanwhile, the Ministry of Finance has extended the period of deposit placement for IDR200trn of its surplus funds with state-owned banks from the end of this year until July 2027. The Finance Minister has also provided banks with greater funding comfort, by pledging to further increase the size of deposit placement if necessary. It remains to be seen if this dovish tilt can persist: a pro-growth liquidity stance is innocuous as long as the rupiah and global bond yields remain stable, but could be a drag if external pressure on emerging market assets rises again.

Meanwhile, President Prabowo has nominated senior deputy governor Destry Damayanti as the sole candidate for the governor position. It is still not known if she has been nominated for a five-year term or for the rest of Perry Warjiyo's term, which ends in 2028. Separately, assuming that Destry's senior deputy governor position is filled by one of the existing deputy governors, the replacement for the deputy governor role would be closely watched, with an internal promotion more likely to boost investor confidence. The parliament reconvenes on 14 August for President Prabowo's State of the Nation address and 2027 budget speech, with the governor's nomination hearing process likely to occur in the second half of August.

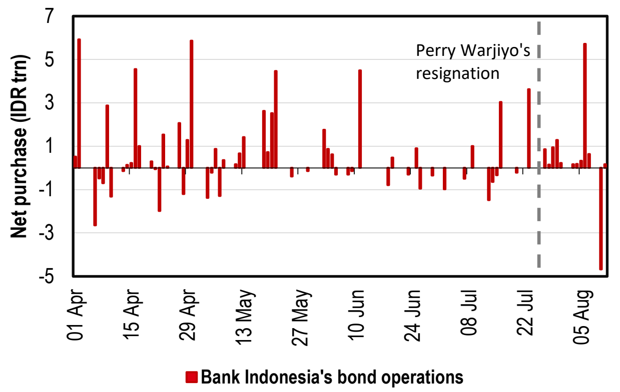
Separately, fiscal uncertainty has risen, as the administration has delayed the collection of e-commerce income tax, previously due from 1 August, and is designing an extra fiscal stimulus package to mitigate the impact of El Niño. The size of the package and its funding source have yet to be disclosed. Prior to this, the country's fiscal deficit target was set at 2.85% of GDP for 2026, leaving limited fiscal room against the 3% ceiling. Based on the target of 2.85%, the government's bond issuance progress reached 66% as of end July.

Figure 9. Net SRBI issuance has fallen



Source: Bloomberg, HSBC

Figure 10. BI has stepped up its bond buying



Source: Bloomberg, HSBC

Week ahead in DM

US

Key data/events: FOMC minutes (19 Aug)

Auctions: 20Y bond (19 Aug, USD16bn); 30Y TIPS (20 Aug, USD8bn)

Key existing trade ideas: Buy 30Y TIPS (see *Table 4*)

Treasuries shrugged off the downside surprise in nonfarm payrolls data over the past week. CPI inflation coming largely in line with consensus also did little to settle the persistent debate surrounding the possibility of the Fed tightening monetary policy in its coming meetings, with a c35% probability of a hike in September in the price for now. HSBC economics' long-held view is that the Fed will hold policy rates steady through 2026 and 2027, though risks to the outlook are skewed to the upside. From a front-end rates pricing perspective, we have argued for some time that current levels reflect a probability-weighted outcome and, if the Fed were ultimately to hike, markets would likely price in multiple subsequent hikes. That, in our view, argues for persistent flattening pressure for now, particularly given another round of CPI and employment data is still pending ahead of the September FOMC meeting. We retain our buy 30Y TIPS trade idea given attractive long-end real yield valuations.

Dhiraj Narula

Eurozone

Monetary policy: Lane speaks (Monday 17 and Tuesday 18 August); ECB July CPI expectations (Friday 21 August; prior 1Y 3.0%); Q2 negotiated wages (Friday 21 August; prior 2.46%)

Key data/events: Eurozone Q2 GDP second release (Friday 14 August; survey 0.4% QoQ); France July final CPI (Friday 14 August; survey HICP 2.4% YoY); Germany August ZEW survey (Tuesday 18 August; prior expectations 26.3); Eurozone July final CPI (Wednesday 19 August; prior 2.9% YoY); Germany/France/eurozone August flash PMI (Friday 21 August; prior composite 51.3/49.4/52.0 respectively)

Key existing trade ideas: Buy 10Y DSL vs Bund; Buy 2Y OAT vs Schatz (see *Table 4*)

Eurozone core curves continue to reflect fossil fuel volatility. The day-to-day correlation of 2Y ESTR to gas prices may be lower than that of oil (c0.6 vs 0.7), but the level is tracking gas prices far more consistently, as discussed in last week's *Global Rates Ideas* (7 August 2026, see pages 10-11). The curve is moving in a more or less parallel manner: since the end of April the 2-10Y slope in both ESTR and the Bund curve has been relatively calm, although it seems to be slowly bear flattening as rate hike expectations become more entrenched.

Although 2Y yields are sensitive to gas price moves, the same cannot be said for September ECB expectations. Since mid-July these have lost their sensitivity to oil and gas, and are locked in at a level implying a c90% chance of a hike (data from Bloomberg WIRP). Unless the ECB pushes back robustly in the near future, this seems to be a done deal, given its disinclination to disappoint markets: the light speaking schedule during August means opportunities to do so are becoming scarce.

The rebound in gas prices has been more pronounced than in oil, which raises the question of whether eurozone rates are vulnerable to another leg higher in yield. We would caution that, as stated above, the relationship to gas is looser on a day-to-day basis. This is also true of BTP spreads and EGB spreads to Bunds more generally, which retain their sensitivity to news from the Middle East.

Chris Attfield

UK

Key data/events: Mon 17 Aug: BoE to sell GBP725mn of short-dated gilts, Tue 18 Aug: Labour market data for June and July including average weekly earnings 3m/y for June, ILO unemployment rate for June and change in payrolled employees for Jul (priors: 4.3%, 4.9% and -4K), DMO to tap UKT 4.875% 2036 via auction, Wed 19 Aug: Inflation data for July including headline and core CPI (priors: 2.6% and 2.6%), Fri 21 Aug: GfK consumer confidence for Aug (Prior: -17), Retail sales ex autos for July (prior: 1.1% mom), S&P Global manufacturing, services and composite PMIs for Aug (priors: 51.9, 52.1 and 52.2 respectively)

Key existing trade ideas: Receive GBP 1Y1Y OIS (see *Table 4*)

Gilts have continued to be range-bound, with the 10-year yield gyrating around 5%. They have been taking impetus from elsewhere. At the front-end, the ebb and flow of geopolitical headlines and moves in oil prices have been the main driver. Meanwhile, the long-end has been exposed to sentiment in US duration.

With that in mind, gilts have continued to fare well versus Treasuries. On the curve the 2-10Y segment has remained under steepening pressure, while the longer-end has been directional with the level of rates.

Looking ahead to next week, there will be a raft of key domestic data releases. Both the labour market and inflation prints have scope to move the dial on rate pricing, which currently sees around two hikes over the next year or so, with the first of these expected by year-end. Supply is light: there's a tap of the 10Y, while the BoE will sell some short-dated gilts as part of QT.

Daniela Russell

Japan

Key data/events: 2Q GDP SA (17 August, %q-o-q, prior: 0.5, cons: 0.5); July Trade Balance (20 August, JPYbn, prior: -409.9); July Exports (20 August, %y-o-y, prior: 19.3); July Imports (20 August, %y-o-y, prior: 25.4); July CPI (21 August, %y-o-y, prior: 1.6); August PMI Composite (21 August, prior: 52.7); August PMI Manufacturing (21 August, prior: 54.5); August PMI Services (21 August, prior: 51.2)

Key existing trade ideas: Pay Japan JPY 30Y OIS (see *Table 4*)

Speculation in local media (Kyodo, 10 August and Bloomberg, 13 August) that the BoJ could hike as early as September has pushed front-end rates higher. September BoJ pricing has risen to imply roughly a 70% probability of a 25bp hike. We think front-end valuations look broadly fair at current levels, with risk-reward favouring positioning further out the curve. Against the backdrop of higher global yields and upcoming fiscal events (see *Global Rates Ideas*, 07 August 2026), we maintain our trade idea to pay 30Y JPY OIS.

Justin Heng

Australia

Key data/events: July Unemployment Rate (20 August, %, prior: 4.4); August PMI Composite (21 August, prior: 53.2); August PMI Manufacturing (21 August, prior: 52.0); August PMI Services (21 August, prior: 53.6)

Key existing trade ideas: 10-2Y IRS flattener (see *Table 4*)

The RBA kept the policy rate unchanged at the central bank meeting this week. While the trimmed mean and headline inflation for Q4 2026 were revised downwards to 3.3% and 3.6%, from 3.5% and 4%, respectively, the policy statement and press conference continued to emphasise the upside risks to inflation. In particular, Governor Michele Bullock noted the central bank may need to tighten further, and that the Board debated both a policy pause and rate hike at the meeting. We expect the RBA to keep policy in restrictive territory to ensure demand cools sufficiently and cap inflation. We maintain our AUD10-2Y IRS flattener trade idea.

Justin Heng

New Zealand

New Zealand's 1-year inflation expectations dropped to 2.6% from 3.41%, as reported in the Reserve Bank of New Zealand survey (13 August). This sharp decline pushed long-end bond yields lower as investors reacted to the fading near-term inflation pressure. Separately, Prime Minister Christopher Luxon survived a second confidence vote on his leadership within four months.
A 1News Verian poll this week showed Luxon's "preferred Prime Minister" rating falling to 17%, the lowest of his tenure, although he still leads all other candidates surveyed. While investors may consider the probability of more populist policies ahead of the general election on 7 November, Prime Minister Luxon and Finance Minister Nicola Willis have recently reaffirmed a conservative stance through new Budget Responsibility Rules. These include targeting a budget surplus by 2028/29, reducing debt to 40% of GDP and keeping it below that level over time, maintaining low taxes, and guiding core expenditure down towards 30% of GDP. We also expect ruling coalition dynamics to limit the likelihood of substantial spending initiatives ahead of the election.

Justin Heng

Week ahead in EM

Mainland China

Monetary policy: 7-Day Reverse Repo Rate (20 August, %, 1.40)

Key existing trade ideas: CNY1-5Y NDIRS steepener; Buy 30Y CGB (see *Table 4*)

The PBoC continues to increase the frequency of its overnight reverse repo operations, moving closer to our expectation of a potential shift towards daily overnight reverse repo operations and an overnight policy rate regime. It conducted overnight reverse repo operations on 3 August and has pledged four more operations from 14-19 August. Comparatively, the central bank conducted just two overnight reverse repo operations in June and three in July. Funding clarity has improved with the central bank's more frequent overnight liquidity intervention. Consequently, liquidity risk premium has receded, adding to the bullish sentiment in the bond market. We also think that the central bank's decision to conduct more overnight reverse repos and pause 7-day reverse repos is consistent with its strong focus on ensuring that the 7-day interbank repo rate aligns with its 7-day policy rate. So far this month, the 7-day banks-only repo rate has averaged slightly below 1.40%, which suggests there is no need for more 7-day liquidity provision. The focus on overnight liquidity provision should result in the outperformance of bonds over swaps. Separately, the central bank released its Q2 monetary policy statement, which did not offer incremental clues on its next policy step beyond the repeated mention of stepping up countercyclical adjustments.

Pin Ru Tan

India

Key existing trade ideas: Buy 15Y IGB (see *Table 4*)

System liquidity surplus consolidated in the first half of August at cINR3.0–3.5tn (1.1–1.3% of NDTL). The RBI has been relying on VRRR auctions to absorb part of this surplus at rates close to the 5.25% policy repo rate, thereby preventing overnight MIBOR from drifting down towards the 5% SDF rate. The liquidity surplus could expand further if banks swap more FCNR(B) deposit inflows with the RBI and if the government's cash balance shifts from accumulation to drawdown. At the same time, the scope for liquidity-draining offsets looks more limited. Near-term maturities in the RBI's short forward book are smaller compared to prior months, and the need for spot FX intervention appears reduced given that INR depreciation pressures have moderated versus July.

Barring a meaningful further expansion in surplus liquidity, we expect NDOIS rates and IGB yields to remain relatively stable. Broad-based price pressures look contained for now, while visibility on key forward inflation drivers, particularly the impact of weather on food prices, remains low. As a result, there may be limited impetus for forward rates to materially reprice in the near term. On trade ideas, we maintain a buy 15Y IGB (6.68 07/07/2040) idea.

Duncan Tan

Thailand

Key data/events: 2Q GDP (17 August, %q-o-q/y-o-y, prior: 0.7/2.8)

New trade idea: THB10-2Y NDOIS steepener (see *Table 2*)

Bank of Thailand assistant governor Chayawadee Chai-Anant stated that the economic outlook for the second half of the year remains uncertain, even though the central bank has raised its growth forecast for the year (The Nation, 11 August). One area of uncertainty stems from US tariff measures related to trading partners' excess manufacturing capacity. Given that Thailand remains the most vulnerable country in EM to higher energy prices, both in terms of oil and gas intensity of GDP and the oil passthrough to inflation (*Global Emerging Markets, Strait through the noise*, 11 August), we think it is unlikely that the Bank of Thailand will deliver hawkish rhetoric anytime soon, which should leave front-end rates anchored, while fiscal and inflation premium continues to be priced at the long-end of the curve. We therefore favour a THB10-2Y NDOIS steepener trade idea (see *Page 3*).

Pin Ru Tan & Soumya Mohanty

Korea

Key data/events: July PPI (21 August, %y-o-y, prior: 8.6)

Key existing trade ideas: Rec KRW 1Y1Y NDIRS (see *Table 4*)

Despite expectations that the BOK Deputy Governor's press conference (11 August) would provide insight into the likelihood of a back-to-back rate hike in August, investors came away disappointed. While his tone was hawkish, the comments did not offer meaningful clarity on the pace or timing of further tightening. As such, while we remain cautious, we continue to believe a back-to-back hike is unlikely (see *Korea Economic Comment: Deputy Governor's Remarks: A back-to-back hike signaled?* 11 August 2026).

Looking ahead, next week's PPI release could be worth watching, given that recent GDP and CPI prints have not provided conclusive signals on the BOK's next step. We expect market activity to remain relatively subdued next week, and maintain our receive KRW 1Y1Y NDIRS trade idea to express our view that terminal-rate expectations can reprice lower as August hike pricing fades.

Chandra V R

Indonesia

Monetary policy: BI-Rate (19 August, %, 5.75)

Indonesia's overnight rate has retraced notably lower, reflecting the joint coordination between the central bank and the Ministry of Finance to boost interbank liquidity. Since Perry Warjiyo's resignation as Bank Indonesia governor, the central bank has been issuing fewer central bank bills and buying more IndoGBs. Meanwhile, the Ministry of Finance has extended the tenor of its deposit placement with state-owned banks. The dovish tilt has yet to be tested, given that global conditions have been relatively benign for emerging market assets over the last two weeks. Meanwhile, fiscal uncertainty has risen with the delay in e-commerce tax implementation and the planning of extra fiscal stimulus. We lay out our thoughts on Indonesia in more detail on *Page 7*.

Pin Ru Tan

Philippines

The Department of Budget and Management has released the borrowing programme for FY27 and updated its FY26 issuance forecast. Gross borrowing for FY26 has been revised higher by PHP52bn, with the increase largely funded by external bonds and loans (+PHP188bn) and treasury bills (+PHP50bn), while the issuance of fixed rate treasury notes has been reduced by PHP187bn. Relative to FY26, the FY27 borrowing plan increases by PHP570bn to PHP3.3trn. Funding for FY27 is expected to be split 72:28 between domestic and foreign borrowings, compared with 70:30 in FY26. Gross issuance of FXTN is expected to total PHP2.3trn in FY27, which equates to net issuance of PHP1.05trn, similar to FY26. Given the backdrop of higher global yields, we believe further risk premium needs to be priced into the RPGB curve.

Justin Heng

Hong Kong

Key data/events: 2Q GDP (14 August, %q-o-q/y-o-y, prior: -0.6/4.3, cons: -0.6/4.3); July CPI Composite (20 August, %y-o-y, prior: 2.0)

Closing trade ideas: Rec 1Y1Y HKD–USD IRS/SOFR spread (see *Table 3*)

There are increasingly clear signs that market participants are pricing for HIBOR-SOFR spreads to shift into higher ranges over the coming months, potentially triggered by a contraction in the Aggregate Balance. The evidence includes spot USD/HKD diverging from 12M HKD forward points, twist-steepening in the O/N to 6M FX swap implied curve, and 3M Exchange Fund Bills yielding above 3M FX swap implied levels.

We think the next potential HIBOR normalisation cycle could differ from past cycles in a couple of key respects. First, the primary driver is unlikely to be a conventional Fed hiking cycle. Instead, normalisation may be led by the fact that HIBOR–SOFR spreads have been generally low for an extended period, while Hong Kong fund flow dynamics have not been sufficiently strong recently to sustain those low spreads. Softer flow momentum is visible in equities (smaller Southbound inflows, Hang Seng Index underperforming) and in declines in HK banks' spot FX positions, etc. To be clear, we are not seeing outsized outflows. Rather, inflows appear less robust than in prior periods. Supporting this, we point to HKD demand and savings deposits that have not materially declined in the year-to-date. Second, the normalisation could begin with the Aggregate Balance already at a relatively low level (cHKD54bn). While low, this starting point has so far proved adequate for interbank settlement, as reflected in the low usage frequency of the Discount Window and subdued realised HIBOR volatility. That said, a possible reduction in the Aggregate Balance would likely increase HIBOR volatility and raise the settlement risk premium embedded in HIBORs.

We close our receive 1Y1Y HKD-USD IRS/SOFR spread idea. With spot USD/HKD close to the weak-side Convertibility Undertaking, the risk to the spread looks tilted to the upside in the near term.

Duncan Tan

Singapore

Key data/events: July Electronic Exports (17 August, %y-o-y, prior: 105.1); July Non-oil Domestic Exports (17 August, %y-o-y, prior: 20.7)

The Ministry of Trade and Industry (MTI) raised its 2026 GDP growth forecast to 4.5-5.5%, from 2-4%, reflecting the global artificial intelligence upswing that is supporting electronics and manufacturing. This marks the second upward growth revision this year. Given such strong economic growth, it is understandable for some market participants to question the low level of the overnight rate (SORA). The August month-to-date average of SORA increased from 0.89% last week to 1.08% this week but remains below the July average of 1.16%. MAS continues to run an accommodative liquidity stance, with net MAS bill redemptions for nine consecutive weeks and a four-week roll sum of net redemption of SGD2.6bn. We view the central bank's liquidity accommodation and the low level of SORA as a buffer against the significant uncertainties in the geopolitical situation. Notably, the word 'uncertain' featured four times in the Prime Minister's National Day Message 2026 (8 August). We expect SORA to remain volatile in the weeks ahead, reflecting the Fed's hawkish bias and MAS's efforts to moderate the pace of SORA increases as higher external rates feed through.

Pin Ru Tan

Türkiye

Key data/events: House Price Index (Jul, %m-o-m/-o-y, 18 Aug) (Prior: 2.0/24.5) and foreign tourist arrivals (Jul, 21 Aug) (Prior: -4.0%)

Upcoming auctions: Re-opening of three-year floating coupon and four-year TLREF indexed TURKGBs on 17 Aug, and four-year CPI-linked and nine-year fixed coupon TURKGBs on 18 Aug

The Central Bank of Türkiye (CBRT) released its quarterly inflation report on 13 August, raising its year-end inflation forecast to 28% from 26% earlier (*Türkiye*, 13 August 2026). The central bank governor, Fatih Karahan, further highlighted the committee's outlook on normalising funding, ie, reverting back to funding at the one-week repo rate; however, the timing of the return would be based on future market conditions. Apart from this, the governor's presentation further highlighted that residents' lira-denominated deposits have risen, while consumer demand has started to moderate, as evidenced by credit card spending and retail sales[1]. Despite weakening domestic demand, we believe that investors are likely to primarily focus on the inflation trajectory and external financing risks. Notably, June's current account balance, released on 13 August, recorded a net shortfall of USD4.2bn, slightly better than the Bloomberg consensus. A modest rally was seen on an intra-day basis in TURKGBs, while OIS remained unchanged. We do not see a near-term directional catalyst and expect rates to stay in a range against the backdrop of upcoming economic releases and external events.

Shubham Sharma

Israel

Key data/events: CPI (Jul, %m-o-m/y-o-y, 14 Aug) (Prior: 0.0/1.6, Consensus: 0.3/1.5), GDP annualised (2Q advance, 16 Aug) (Prior: -3.8%, Consensus: 8.3%), and Unemployment rate (Jul, 17 Aug) (Prior: 2.9%)

Upcoming auctions: NA

Existing trade idea: Buy ILGOV 4.1 Jul'28 vs pay 2Y OIS (see *Table 4*)

In recent weeks, Israeli rates have primarily traded on the back of headlines around the Middle East conflict. The incoming news around the potential truce agreement has resulted in a 5-7bp rally across both government bond yield and OIS curves since late July, while OIS forwards are now pricing c25bp of rate cuts over the next year vs. c10bp a few weeks back. With this, bond-OIS spreads have widened modestly, particularly in short-dated tenors. In our view, the central bank is likely to continue its pragmatic approach in the near-term, considering external risks and upcoming

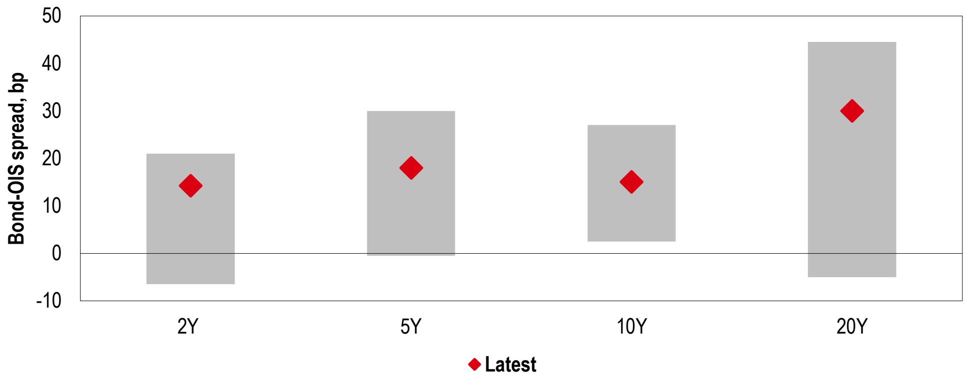
---

1 BRIEFING ON 2026-III INFLATION REPORT, 13 August 2026

elections in October. Moreover, the Treasury has completed its August funding plan, and there are no more auctions scheduled for the rest of the month. We believe that risk-reward is still favourable for spread compression due to cheap valuations, a modest carry cushion, and a lack of bond supply in August. We express this view through a buy ILGOV 4.1 Jul'28 vs pay 2Y OIS trade idea.

The July inflation print is due on Friday (14 August). A weaker-than-expected inflation print could pose a risk to our trade idea, as it might lead to OIS forwards repricing to more rate cuts going forward.

Figure 11. Bond-OIS spreads are wide in short-dated tenors



Source: HSBC, Bloomberg *Grey bar indicates range over the past three months

Shubham Sharma

Mexico

Key existing trade ideas: Receive F-TIIE 2Y IRS vs Pay F-TIIE 10Y IRS (see *Table 4*)

As we head towards the end of August, investors should start to pay attention to comments from the Ministry of Finance on the 2027 federal budget law proposal. The document will be formally presented to Congress in early September, after Congress reconvenes on 1 September. In that document, investors will be looking out for primary and consolidated fiscal balances as well as other macro forecasts, such as economic growth, cost of funding, and oil price for 2027. The slow fiscal consolidation process over the last few years has brought more scrutiny to fiscal coffers since 2024, and thus it is important to understand these metrics to predict debt dynamics. Retail sales for June, to be released on 21 August, will provide an economic pulse for late Q2 2026 and help investors fine-tune their expectations for monetary policy.

Mario Robles

Brazil

The kick-off of the presidential electoral campaign is expected on 16 August. Investors will pay attention to the candidates' fiscal plans, which may be the most important piece of information to understand debt dynamics over the next four years. As the political campaign unfolds, rates are more likely to trade with a volatile bias, with a historical tendency for the yield curve to steepen (*Brazil macro strategy: Election caution ahead*, 27 July).

Mario Robles

Chile

Chile's Q2 2026 GDP release is scheduled for 18 August and should provide a clearer read on growth momentum over the quarter. Activity has been subdued for much of the year, although June economic activity data (released 3 August) surprised to the upside. The macro backdrop remains complicated by firmer inflation, which has constrained the Central Bank of Chile's (BCCh) ability to pivot and led to a steady policy stance through 2026 to date. That said, July CPI (7 August) was in line with consensus on a month-on-month basis at 0.1% and marginally below expectations year-on-year (3.5% vs 3.6% consensus), offering tentative evidence of easing price pressures. Even if the GDP release reinforces the narrative of slowing growth, investors are likely to look for more sustained disinflation before meaningfully pricing a dovish shift in BCCh policy. At present, forwards imply virtually no additional tightening or easing through the remainder of 2026. However, a material de-escalation of the Middle East conflict could ease energy-driven inflation risks and prompt a repricing lower in Camara rates, likely generating a bullish steepening of the curve.

Mario Robles

Colombia

Retail sales for June are due on 14 August, followed by June economic activity and Q2 GDP data on 18 August. To date, the economy has not shown any material signs of slowing, despite 275bp of cumulative rate hikes in H1 2026. Inflation remains well above the central bank's 3% target. While July CPI data released on 11 August delivered a modest downside surprise in both headline and core measures, inflation continues to run above 6%. Next week's data releases should provide more clarity on the economic outlook. Market pricing remains relatively benign: forwards imply only c11bp of tightening at the policy meeting on 30 September and approximately 55bp of cumulative hikes through end-2026. Should incoming activity data continue to surprise to the upside, forwards may reprice to reflect a steeper tightening trajectory than currently expected, with the IBR curve likely to flatten as front-end rates adjust higher.

Mario Robles

We acknowledge the assistance of Amitava Kansabanik in the production of this report. Amitava Kansabanik is employed by a non-US affiliate of HSBC Securities (USA) Inc. and is not registered/qualified pursuant to FINRA regulations.

Emerging Market Central bank monitor

Brazil

Meeting date	Implied rate (%)	Cumulative Implied rate change (bp)			
Current rate : 14.00%		Current	-1d	-1w	-1m
16-Sep-26	13.84	-17	-18	-16	-32
04-Nov-26	13.81	-20	-22	-19	-32
09-Dec-26	13.86	-14	-18	-15	-28
27-Jan-27	13.93	-7	-13	-15	-28
YE 2026	13.86	-14	22	14	-24
YE 2027	14.37	37	22	14	-26

Chile

Meeting date	Implied rate (%)	Cumulative Implied rate change (bp)			
Current rate : 4.50%		Current	-1d	-1w	-1m
08-Sep-26	4.59	9	12	10	2
27-Oct-26	4.64	14	17	14	3
15-Dec-26	4.69	19	22	17	4
15-Jan-27	4.72	22	22	17	5
YE 2026	4.69	19	44	40	28
YE 2027	4.93	43	44	40	5

Colombia

Meeting date	Implied rate (%)	Cumulative Implied rate change (bp)			
Current rate : 12.00%		Current	-1d	-1w	-1m
30-Sep-26	12.06	6	7	8	39
30-Oct-26	12.30	30	39	39	55
18-Dec-26	12.39	39	47	45	50
29-Jan-27	12.38	38	51	48	36
YE 2026	12.39	39	-48	-55	-74
YE 2027	11.39	-61	-48	-55	-74

Hungary

Meeting date	Implied rate (%)	Cumulative Implied rate change (bp)			
Current rate : 5.75%		Current	-1d	-1w	-1m
25-Aug-26	5.62	-13	-15	-22	-9
22-Sep-26	5.48	-27	-28	-36	-23
20-Oct-26	5.39	-36	-35	-46	-33
17-Nov-26	5.29	-46	-43	-54	-40
YE 2026	5.24	-51	-61	-81	-81
YE 2027	5.05	-70	-61	-81	-81

India

Meeting date	Implied rate (%)	Cumulative Implied rate change (bp)			
Current rate : 5.25%		Current	-1d	-1w	-1m
07-Oct-26	5.44	19	24	25	30
04-Dec-26	5.62	37	41	38	34
05-Feb-27	5.82	57	65	63	58
05-Apr-27	5.89	64	69	65	68
YE 2026	5.62	37	105	101	86
YE 2027	6.26	101	105	101	86

Israel

Meeting date	Implied rate (%)	Cumulative Implied rate change (bp)			
Current rate : 3.50%	(%)	Current	-1d	-1w	-1m
01-Sep-26	3.47	-3	-2	-8	-9
21-Oct-26	3.39	-11	-10	-19	-9
23-Nov-26	3.31	-19	-18	-22	-9
04-Jan-27	3.31	-19	-18	-27	-9
YE 2026	3.31	-19	-16	-26	-39
YE 2027	3.30	-20	-16	-26	-39

Korea

Meeting date	Implied rate (%)	Cumulative Implied rate change (bp)			
Current rate : 2.75%		Current	-1d	-1w	-1m
27-Aug-26	2.83	8	9	18	-11
22-Oct-26	3.08	33	35	38	4
26-Nov-26	3.21	46	50	51	23
07-Jan-27	3.32	57	61	62	41
YE 2026	3.21	46	109	103	106
YE 2027	3.82	107	109	103	106

Malaysia

Meeting date	Implied rate (%)	Cumulative Implied rate change (bp)			
Current rate : 2.75%		Current	-1d	-1w	-1m
03-Sep-26	2.87	12	12	13	11
05-Nov-26	2.82	7	8	6	2
14-Jan-27	2.87	12	12	12	7
25-Mar-27	2.92	17	18	18	12
YE 2026	2.82	7	22	21	16
YE 2027	2.95	20	22	21	16

Mexico

Meeting date	Implied rate (%)	Cumulative Implied rate change (bp)			
Current rate : 6.50%		Current	-1d	-1w	-1m
24-Sep-26	6.41	-9	-8	-10	-1
05-Nov-26	6.52	2	-8	-10	-1
17-Dec-26	6.57	7	-8	-10	-1
28-Jan-27	6.59	9	-8	-10	-1
YE 2026	6.57	7	132	130	124
YE 2027	7.40	90	94	92	89

Poland

Meeting date	Implied rate (%)	Cumulative Implied rate change (bp)			
Current rate : 3.75%		Current	-1d	-1w	-1m
09-Sep-26	3.76	1	1	0	-5
07-Oct-26	3.76	1	1	0	-5
04-Nov-26	3.75	0	1	0	-5
02-Dec-26	3.79	4	1	0	-5
YE 2026	3.85	10	49	22	8
YE 2027	4.16	41	49	22	8

South Africa

Meeting date	Implied rate (%)	Cumulative Implied rate change (bp)			
Current rate : 7.00%		Current	-1d	-1w	-1m
23-Sep-26	7.08	8	10	10	22
19-Nov-26	7.24	24	27	28	31
21-Jan-27	7.45	45	52	49	43
25-Mar-27	7.52	52	58	58	42
YE 2026	7.24	24	42	35	19
YE 2027	7.32	32	42	35	19

Mainland China*

Meeting date	Implied rate (%)	Cumulative Implied rate change (bp)			
Current rate: 1.40%		Current	-1d	-1w	-1m
20-Aug-26	1.45	5	5	4	3
21-Sep-26	1.44	4	3	2	3
20-Oct-26	1.43	3	3	2	2
20-Nov-26	1.42	2	2	1	2
YE 2026	1.42	2	2	1	0
YE 2027	1.40	0	0	-1	0

Thailand

Meeting date	Implied rate (%)	Cumulative Implied rate change (bp)			
Current rate : 1.00%		Current	-1d	-1w	-1m
26-Aug-26	1.01	1	1	-2	2
28-Oct-26	1.04	4	4	6	7
23-Dec-26	1.06	6	6	7	9
17-Feb-27	1.11	11	11	13	14
YE 2026	1.06	6	6	38	47
YE 2027	1.45	45	45	38	47

Taiwan

Meeting date	Implied rate (%)	Cumulative Implied rate change (bp)			
Current rate: 2.00%		Current	-1d	-1w	-1m
17-Sep-26	2.03	3	3	5	7
17-Dec-26	2.17	17	18	22	24
31-Mar-27	2.31	31	18	22	24
30-Jun-27	2.47	47	18	22	24
YE 2026	2.17	17	62	60	56
YE 2027	2.61	61	62	60	56

Czech Republic

Meeting date	Implied rate (%)	Cumulative Implied rate change (bp)			
Current rate : 3.75%		Current	-1d	-1w	-1m
17-Sep-26	3.82	7	7	-20	13
05-Nov-26	3.98	23	25	-7	25
17-Dec-26	4.05	30	33	0	31
28-Jan-27	4.15	40	43	7	38
YE 2026	4.05	30	79	33	60
YE 2027	4.48	73	79	33	60

Source: Bloomberg, Central bank websites, HSBC calculations *for Mainland China, we have taken 7-day reverse repo rate fixing as the policy rate (there is no fixed MPC fixing dates for 7 day reverse repo rate)

For daily updates, see our EM Central Bank Monitor on Bloomberg at HSFI (Analytics).

Recent publications

Publication	Date
Previous editions	
Global Rates Ideas: EM & DM	7 August
Global Rates Ideas: EM & DM	31 July
Global Rates Ideas: EM & DM	24 July
DM	
Global Rate Supply Outlook: Issuance and cash flows for the weeks ahead	10 August
US Treasury Refunding: Bessent, bills, and balance sheet	5 August
Japan Rates: Higher for longer	31 July
US Treasury Refunding Preview: Holding course	30 July
Eurozone rates: France bond spreads and political risk	29 July
US Rates: Real yield reckoning	24 July
UK Rates Trade Idea: Receive GBP 1Y1Y OIS: Opportunity knocks	14 July
Eurozone rates: A new way of calculating relative value	13 July
US Rates: Quarter-final games	8 July
Eurozone rates trade idea: Buy 10Y Bund outright	7July
EUR swap spreads: Challenges to cheapening	29 June
US Rates: Warsh and peace	24 June
UK Rates Strategy: Optimism in the price	24 June
EM	
Thailand Rates: Steepening Bias	13 August
HUF Rates: Guess who's back? - pay 2Y HUF IRS	7 August
Global bond flows compass: Revisiting the Japan repatriation debate	7 August
HUF Rates: Close pay 2Y HUF IRS trade idea	6 August
Saudi Arabia Rates: Close our KSASUK-UST spread trade idea	4 August
RON Rates: Close buy ROMANI 07/39 spreads trade idea	4 August
Global bond flows compass: Higher US real yields raise the bar for EM debt inflows	31 July
Indonesia: Bank Indonesia governor resigns	27 July
Global bond flows compass: No signs of broad-based EM debt outflows	24 July
Asia-Pacific Rates: Japan's new playbook for JGB demand	23 July
Global bond flows compass: EM resilience	17 July
HUF Rates: Too far, too fast	14 July
Global bond flows compass: EM LC bonds take Middle East tensions in stride	10 July
Poland rates: Summer steepeners	6 July
Global bond flows compass: Bright spots in Asia	3 July
Global bond flows compass: Pockets of resilience	26 Jun
Asia-Pacific Rates: What a stronger dollar means for regional rates	26 Jun
Thematic	
Covered Bond Insight: Seasonal patterns	23 July
Fixed Income Views: Our convictions and forecasts	21 July
Global Quant Rates Strategy: ASW in Focus	20 July
SSA Monitor: Mid-year review	16 July
Fixed Income Views: Our convictions and forecasts	16 Jun
Covered Bond Insight: Italian banks in acquisition mood	11 Jun
Fixed Income Views: Our convictions and forecasts	6 May
Green Bond Insights: The ambition to transition	30 April
Covered Bond Insight: If it rains, retain	22 April
Fixed Income Views: Our convictions and forecasts	1 April
Covered Bond Insight: Spreads edge wider as yields are rising	17 March
SSA Monitor: Navigating market volatility	5 March
Green Bond Insights: Adapting to a new climate	23 February
Fixed Income Views: Our convictions and forecasts	23 February

Trade tracker

Table 2. Recently opened trade ideas

Position	Instrument	Entry date	Entry level	Current level	Target	Stop	Rationale & risk	Analyst
DM								
N/A								
EM								
Pay	2Y **HUF** IRS	07-Aug-26	5.13%	5.21%	5.65%	4.85%	Rationale: Bar for NBH to overdeliver is high; upside growth risks underappreciated; potential profit margin cap removal. Risks: Strong FX appreciation; CPI continues to surprise to the downside.	RP/TE*
Rec Pay	**THB** 2Y NDOIS **THB** 10Y NDOIS	13-Aug-26	84bp	84bp	95bp	78bp	Rationale: Higher net supply coupled with negative seasonality, weaker demand ahead of duration supply. Risks: Sharp rally in global long-dated rates.	PT/SMo**

Source: HSBC, Bloomberg. Total return measures price appreciation, accrual and coupon payment. Options may result in greater losses than equivalent trades should the market move against one's expected direction. Target and stop levels are indicative only. Priced intra-day on 13 August 2026. Trade ideas remain open until explicitly closed in a publication. *Opened In: *HUF Rates: Guess who's back?* (07-Aug-26) **Opened In: *Thailand Rates: Steepening bias* (13-Aug-26) For Analyst: RP = Robert Preston, TE = Tolga Ediz, PT = Pin Ru Tan, SMo = Soumya Mohanty

Table 3. Recently closed trade ideas

Position	Instrument	Entry (date)	Target	Stop	Exit (date)	Performance	Rationale	Analyst
DM								
N/A								
EM								
Rec Pay	**HKD** 1Y1Y IRS **USD** 1Y1Y SOFR	-41bp (23-Jul-26)	-65bp	-28bp	-34bp (14-Aug-26)	-7bp	Proximity of USD/HKD to weak-side convertibility undertaking	DT

Source: HSBC, Bloomberg. Total return measures price appreciation, accrual and coupon payment. Target and stop levels are indicative only. Trade ideas remain open until explicitly closed in a publication. For Analyst: DT = Duncan Tan

In addition, we reiterate the trade ideas on the following pages. For a 12-month history of all of our trade ideas, including those published in other publications, please see *Global Rates Trade Tracker* (14 August 2026).

Table 4. Open trade ideas

Position	Instrument	Entry date	Entry level	Current level	Target	Stop	Rationale & risk	Analyst
Buy Sell	**Netherlands** NETHER 2.75% 07/36 **Germany** DBR 3% 08/36	07-Aug-26	9bp	9bp	0bp	17bp	Rationale: Fundamentals, supply progress and QT support convergence. Risks: Flight to quality move	CA/KB
Rec	**KRW** 1Y1Y NDIRS	07-Aug-26	3.95%	3.98%	3.70%	4.12%	Rationale: Terminal rate hike pricing could be reduced on softer than expected price pressures and shifting flows Risks: BOK rate hike in August and/or front-end core rates moving materially higher	CVR
Buy Sell	**POLGB** 5.00 01/30 **POLGB** 5.25 04/36	31-Jul-26	93bp	100bp	121bp	76bp	Rationale: Polls may lead the current government to implement tax changes despite limited fiscal room; dovish CB Risks: Middle East volatility flattens the curve; shift in NBP rhetoric	RP
Pay	**JPY** 30Y OIS	31-Jul-26 ^07-Aug-26	3.52%	3.57%	was 3.65% now 3.80%	was 3.20% now 3.35%	Rationale: Scope for higher inflation and fiscal risk premium to be priced in Risks: Government demonstrate fiscal discipline,	JH
Rec	**GBP** 1Y1Y OIS	14-Jul-26	4.35%	4.35%	4.00%	4.60%	Rationale: Weak growth undermines case for hikes. Risks: Higher oil prices, hawkish data	DR
Buy Pay	**Israel** ILGOV4.1 07/28 2Y **ILS** OIS	10-Jul-26	18bp	15bp	0bp	27bp	Rationale: Aggressive easing priced, spread close to y-t-d high. Risks: Strong disinflation momentum or sharp shekel appreciation	SS/KB
Buy	**US** TII 2.375% 02/56	08-Jul-26	2.87%	3.02%	2.60%	3.05%	Rationale: Attractive real yield valuations; limited term premium catalysts. Risks: Global duration weakness; policy shocks	DN
Rec Pay	**PLN** 2Y IRS **PLN** 10Y IRS	06-Jul-26	43bp	60bp	73bp	28bp	Rationale: Dovish NBP shift and inflation premium pick-up, building fiscal risks ahead of election, seasonality. Risks: Fundamentals prevent NBP shift, DM beta, fiscal consolidation, foreign inflows.	RP
Rec Pay	**TWD** 1Y NDIRS **TWD** 5Y NDIRS	03-Jul-26 ^24-Jul-26	33bp	47bp	was 50bp now 60bp	was 25bp now 25bp	Rationale: NDIRS paying interest to return Risks: Slowdown in AI capex demand	DT
Pay Rec	**AUD** 2Y IRS **AUD** 10Y IRS	26-Jun-26	41bp	50bp	15bp	56bp	Rationale: Hawkish RBA, slowing domestic growth Risks: Slowdown in domestic prices	JH
Buy	**India** IGB 6.68 07/40	26-Jun-26	7.04%	6.97%	6.70%	7.25%	Rationale: Attractive valuations and carry Risks: High food inflation, fiscal concerns	DT
Buy Sell Buy	**South Africa** SAGB 8 01/30 **South Africa** SAGB 8.875 02/35 **South Africa** SAGB 8.75 02/48	04-Jun-26	-14bp	-20bp	20bp	-30bp	Rationale: Belly rich; fly provides a hedged low beta expression Risks: Lack of further shocks and positive risk sentiment remains	RP

Source: HSBC, Bloomberg. Priced intra-day on 13 Aug 2026. Notes: options may result in greater losses than equivalent trades should the market move against one's expected direction. Total return measures price appreciation, accrual and coupon payments. Target and stop levels are indicative only. Trade ideas remain open until explicitly closed in a publication. ^indicates revisions to target and/or stop levels. For Analyst: CA = Chris Attfield, DR = Daniela Russell, FW = Frank Will, SS = Shubham Sharma, JH = Justin Heng, PT = Pin Ru Tan, KB = Kristian Bolso, SMo = Soumya Mohanty, DT = Duncan Tan, DN = Dhiraj Narula, RP = Robert Preston, MR = Mario Robles, TE = Tolga Ediz, CVR = Chandra V R

Table 4. Open trade ideas (cont'd.)

Position	Instrument	Entry date	Entry level	Current level	Target	Stop	Rationale & risk	Analyst
Rec Pay	**MXN** F-TIIE 2Y IRS **MXN** F-TIIE 10Y IRS	29-May-26	109bp	118bp	180bp	75bp	Rationale: Current yield curve shape may not incorporate further slowing cyclical conditions and fiscal/political risks. Risks: CB turns hawkish/fiscal consolidation and USMCA become more favourable	MR
Buy Sell	**CCFSFH** 2.625% Sep 2032 **MUNHYP** 1.875% Aug 2032	22-May-26	31bp	33bp	26bp	51bp	Rationale: The gap between German and French covered bonds seems too wide Risks: Political uncertainty in France and geopolitical risks	FW
Rec Pay	5Y **SAR** IRS 5Y **SOFR**	18-May-26	126bp	118bp	110bp	138bp	Rationale: Close to y-t-d high, improving interbank liquidity conditions Risks: Regional conflict escalation	SS
Buy Sell	**Hungary** REPHUN 5.375 09/33 **Poland** POLAND 3.875 02/33	15-May-26	60bp	46bp	25bp	80bp	Rationale: Differences in debt outlooks, monetary-fiscal factors, carry Risks: Global stagflation risks, large moves in US IG, low EU fund absorption	KB
Buy Sell	**France** FRTR 0.75% 02/28 **Germany** BKO 2.5% 06/28	13-May-26	14bp	13bp	8bp	20bp	Rationale: Low beta to oil, high carry Risks: Risk aversion, French politics	CA
Pay	**MYR** 2Y NDIRS	20-Mar-26 ^26-Jun-26 ^07-Aug-26	3.41%	3.62%	was 3.57% then 3.63% now 3.70%	was 3.30% then 3.43% now 3.55%	Rationale: Pick up in fixed deposit competition, higher net bond supply Risks: Growth slowdown, further build up in interbank liquidity	PT/SMo
Buy	**Mainland China** CGB 2.38 01/56	13-Feb-26 ^13-Mar-26	2.25%	2.17%	2.05%	was 2.35% now 2.50%	Rationale: Further rate cuts; yields capped by PBoC's bond buying Risks: Surge in equity risk sentiment	PT
Rec Pay	1Y **CNY** NDIRS 5Y **CNY** NDIRS	09-Jan-26 ^19-Jun-26	11bp	6bp	22bp	was 6bp now 0bp	Rationale: Policy guidance is for further easing, which is not priced in Risks: Risk-off sentiment	PT
Buy Sell	**KFW** 4% Mar 2029 **US** T 4.125% Mar 2029	30-May-25	4bp	2bp	-5bp	20bp	Rationale: KfW has the potential to trade at lower yields than US Treasuries Risks: Changes in the SLR could increase US bank demand for US Treasuries	FW

Source: HSBC, Bloomberg. Priced intra-day on 13 Aug 2026. Notes: options may result in greater losses than equivalent trades should the market move against one's expected direction. Total return measures price appreciation, accrual and coupon payments. Target and stop levels are indicative only. Trade ideas remain open until explicitly closed in a publication. ^indicates revisions to target and/or stop levels. For Analyst: CA = Chris Attfield, DR = Daniela Russell, FW = Frank Will, SS = Shubham Sharma, JH = Justin Heng, PT = Pin Ru Tan, KB = Kristian Bolso, SMo = Soumya Mohanty, DT = Duncan Tan, DN = Dhiraj Narula, RP = Robert Preston, MR = Mario Robles, TE = Tolga Ediz

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Pin Ru Tan, Soumya Mohanty, CFA, Chris Attfield, Kristian Bolso, Chandra V R, Justin Heng, Shubham Sharma, Dhiraj Narula, CFA, Daniela Russell, Duncan Tan, Robert Preston, Mario Robles, Tolga Ediz and Frank Will.

Important disclosures

Fixed income: Basis for financial analysis

This report is designed for, and should only be utilised by, institutional investors. Furthermore, HSBC believes an investor's decision to make an investment should depend on individual circumstances such as the investor's existing holdings and other considerations.

HSBC believes that investors utilise various disciplines and investment horizons when making investment decisions, which depend largely on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations. Given these differences, HSBC has two principal aims in its fixed income research: 1) to identify long-term investment opportunities based on particular themes or ideas that may affect the future earnings or cash flows of companies in corporate credit and based on country-specific ideas or themes that may affect the performance of these bonds in the case of covered bonds, in both cases on a six-month time horizon; 2) to identify trade ideas on a time horizon of up to four months, relating to specific instruments, which are predominantly derived from relative value considerations or driven by events and which, in the case of credit research, may differ from our long-term opinion on an issuer. Buy or Sell refer to a trade call to buy or sell that given instrument; HSBC has assigned a fundamental recommendation structure, as described below, only for its longer-term investment opportunities.

HSBC believes an investor's decision to buy or sell a bond should depend on individual circumstances such as the investor's existing holdings and other considerations. Different securities firms use a variety of terms as well as different systems to describe their recommendations. Investors should carefully read the definitions of the recommendations used in each research report. In addition, because research reports contain more complete information concerning the analysts' views, investors should carefully read the entire research report and should not infer its contents from the recommendation. In any case, recommendations should not be used or relied on in isolation as investment advice.

HSBC Global Research is not and does not hold itself out to be a Credit Rating Agency as defined under the Hong Kong Securities and Futures Ordinance.

Definitions for fundamental credit and covered bond recommendations

Overweight: For corporate credit, the issuer’s fundamental credit profile is expected to improve within the next six months. For covered bonds, the bonds issued in this country are expected to outperform those of the other countries in our coverage over the next six months.

Neutral: For corporate credit, the issuer’s fundamental credit profile is expected to remain stable for up to six months. For covered bonds, the bonds issued in this country are expected to perform in line with those of the other countries in our coverage over the next six months.

Underweight: For corporate credit, the issuer’s fundamental credit profile is expected to deteriorate within the next six months. For covered bonds, the bonds issued in this country are expected to underperform those of other countries in our coverage over the next six months.

Definitions for trades (Rates & Credit)

Buy and **Sell** refer to a trade call to buy or sell a bond, option on an interest rate swap (**"swaption"**), interest rate cap or floor, inflation cap or floor, or Total Return Swap (**"TRS"**). The buyer/seller of a TRS receives/pays the total return of the underlying instrument or index at the end of the period and pays/receives the funding leg.

Buy protection and **Sell protection** refer to a credit default swap (CDS) or a credit default swap index (CDS index): the protection buyer/seller is effectively selling/buying the credit risk of a single reference entity (CDS) or multiple reference entities (CDS Index).

Pay and **receive** refer to a trade call to pay or receive the fixed leg of an interest rate swap (IRS), a non-deliverable IRS, the first-named leg of a basis swap, the realised inflation leg of an inflation swap, or a forward rate agreement (FRA). An investor that executes a pay or receive trade is said to be **"paid"** or **"received."**

Payer and **receiver** refer to inflation caps or floors and to swaptions: a payer is an option giving the right but not the obligation to enter a paid position in an interest rate or inflation swap, and a receiver is an option giving the right but not the obligation to enter a received position in an interest rate or inflation swap.

ASW (also asset-swap, Buy on asset swap, Buy on an asset-swapped basis): Buy a bond packaged with a swap that is tailored to eliminate the bond's interest rate risk, effectively transforming the bond to a floating rate instrument whilst preserving the credit exposure to the bond issuer.

RASW (also reverse asset-swap, Sell on asset swap, Sell on an asset swapped basis): Sell a bond packaged with a swap that is tailored to eliminate the bond's interest rate risk, effectively transforming the bond to a floating rate instrument whilst preserving the credit exposure to the bond issuer.

Distribution of fundamental credit and covered bond recommendations

As of 30 June 2026, the distribution of all independent fundamental credit recommendations published by HSBC is as follows:

Overweight	32%	(0% of these provided with Investment Banking Services in the past 12 months)
Neutral	41%	(0% of these provided with Investment Banking Services in the past 12 months)
Underweight	27%	(0% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used: Overweight = Buy, Neutral = Hold and Underweight = Sell. For rating definitions under both models, please see "Definitions for fundamental credit and covered bond recommendations" above.

Distribution of trades

As of 30 June 2026, the distribution of all trades published by HSBC is as follows:

Buy	55%	(32% of these provided with Investment Banking Services in the past 12 months)
Sell	45%	(11% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used: Buy/Sell protection/Receive/Buy Receiver/Sell Payer = Buy; and Sell/Buy protection/Pay/Buy Payer/Sell Receiver = Sell. ASW is counted as a buy of the bond and a paid swap, and RASW as a sell of the bond and a received swap. For rating definitions under both models, please see "Definitions for trades (Rates and Credit)" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at *http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures*.

Recommendation changes for long-term investment opportunities

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

Clients of HSBC Private Bank: *www.research.privatebank.hsbc.com/Disclosures*

All other clients: *www.research.hsbc.com/A/Disclosures*

HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
CCF HOLDING SAS	-	-	-	–
GOVERNMENT OF CHINA	-	-	-	1, 2, 5, 7
GOVERNMENT OF FRANCE	-	-	-	1, 2, 5, 6, 7
GOVERNMENT OF GERMANY	-	-	-	1, 2, 5, 6
GOVERNMENT OF HUNGARY	-	-	-	–
GOVERNMENT OF INDIA	-	-	-	6, 7
GOVERNMENT OF ISRAEL	-	-	-	–
GOVERNMENT OF NETHERLANDS	-	-	-	2, 6, 7
GOVERNMENT OF POLAND	-	-	-	–
GOVERNMENT OF SOUTH AFRICA	-	-	-	2
GOVERNMENT OF UNITED STATES	-	-	-	6
KFW BANKENGRUPPE	-	-	-	1, 2, 5, 6, 7
MUENCHENER HYPOTHEKENBANK	-	-	-	6, 7

Source: HSBC

1 HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.

2 HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.

3 At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.

4 As of 31 July 2026, HSBC beneficially owned 1% or more of a class of common equity securities of this company.

5 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.

6 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.

7 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.

8 A covering analyst/s has received compensation from this company in the past 12 months.

9 A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.

10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.

11 At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.

12 As of 07 August 2026, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

13 As of 07 August 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

14 HSBC Qianhai Securities Limited holds 1% or more of a class of common equity securities of this company.

HSBC and its affiliates will from time to time sell to and buy from customers the securities/instruments, both equity and debt (including derivatives) of companies covered in HSBC Research on a principal or agency basis or act as a market maker or liquidity provider in the securities/instruments mentioned in this report.

Analysts, economists, and strategists are paid in part by reference to the profitability of HSBC which includes investment banking, sales & trading, and principal trading revenues.

Whether, or in what time frame, an update of this analysis will be published is not determined in advance.

Non-U.S. analysts may not be associated persons of HSBC Securities (USA) Inc, and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with the subject company, public appearances and trading securities held by the analysts.

Economic sanctions laws imposed by certain jurisdictions such as the US, the EU, the UK, and others, may prohibit persons subject to those laws from making certain types of investments, including by transacting or dealing in securities of particular issuers, sectors, or regions. This report does not constitute advice in relation to any such laws and should not be construed as an inducement to transact in securities in breach of such laws.

For disclosures in respect of any company mentioned in this report, please see the most recently published report on that company available at www.hsbcnet.com/research. HSBC Private Bank clients should contact their Relationship Manager for queries regarding other research reports. In order to find out more about the proprietary models used to produce this report, please contact the authoring analyst.

HSBC may use Artificial Intelligence (AI) tools approved for adoption within HSBC in the development of its research reports, utilizing these technologies to analyse large volumes of data, enhance efficiency and improve the overall user experience. This includes but is not limited to paraphrasing, developing suitable captions and supporting data visualisation. It is important to note that while AI tools assist in various aspects of report creation, all investment recommendations and opinions presented herein are formulated and approved exclusively by our research analysts. The final content of the report reflects the professional judgement and expertise of our research analysts, ensuring compliance with regulatory standards and maintaining the integrity of our research process.

Additional disclosures

1 This report is dated as at 14 August 2026.

2 All market data included in this report are dated as at close 12 August 2026, unless a different date and/or a specific time of day is indicated in the report.

3 HSBC has procedures in place to identify and manage any potential conflicts of interest that arise in connection with its Research business. HSBC's analysts and its other staff who are involved in the preparation and dissemination of Research operate and have a management reporting line independent of HSBC's Investment Banking business. Information Barrier procedures are in place between the Investment Banking, Principal Trading, and Research businesses to ensure that any confidential and/or price sensitive information is handled in an appropriate manner.

4 You are not permitted to use, for reference, any data in this document for the purpose of (i) determining the interest payable, or other sums due, under loan agreements or under other financial contracts or instruments, (ii) determining the price at which a financial instrument may be bought or sold or traded or redeemed, or the value of a financial instrument, and/or (iii) measuring the performance of a financial instrument or of an investment fund.

5 As of 07 August 2026 HSBC owned a significant interest in the debt securities of the following company(ies): GOVERNMENT OF CHINA, GOVERNMENT OF FRANCE, GOVERNMENT OF GERMANY, GOVERNMENT OF HUNGARY, GOVERNMENT OF INDIA, GOVERNMENT OF ISRAEL, GOVERNMENT OF NETHERLANDS, GOVERNMENT OF POLAND, GOVERNMENT OF SOUTH AFRICA, GOVERNMENT OF UNITED STATES, MUENCHENER HYPOTHEKENBANK

Production & distribution disclosures

1. This report was produced and signed off by the author on 13 Aug 2026 14:56 GMT.

2. In order to see when this report was first disseminated please see the disclosure page available at https://www.research.hsbc.com/R/34/L7cJwqZ

Disclaimer

[1286307]

Global Fixed Income Research Team

EMEA

Head of UK Rates Strategy
Daniela Russell +44 20 7991 1352
daniela.russell@hsbcib.com

Chris Attfield +44 20 7991 2133
christopher.attfield@hsbcib.com

Head of Covered Bond Research
Frank Will +49 211 910 2157
frank.will@hsbc.de

Kristian Bolso +44 20 7579 4854
kristianbolso@hsbc.com

Robert Preston +44 20 7991 0955
robert.preston@hsbc.com

Asia

Head of Asia Pacific Rates Strategy
Pin Ru Tan +65 6658 8782
pin.ru.tan@hsbc.com.sg

Duncan Tan +65 6658 7255
duncan.tan@hsbc.com.sg

Justin Heng +852 2288 9778
justin.heng@hsbc.com.hk

Chandra V R +65 6658 9467
chandra.v.r@hsbc.com.sg

Soumya Mohanty +91 80 6827 3548
soumya.ranjan.mohanty@hsbc.co.in

Americas

Head of LatAm Rates Strategy
Mario Robles +1 212 525 4119
mario.robles@us.hsbc.com

Shubham Sharma +91 80 7369 7530
shubham.s.sharma@hsbc.co.in

Dhiraj Narula +1 212 525 0210
dhiraj.narula@us.hsbc.com

Credit

EMEA

Credit & Green Bond Strategist
Dominic Kini +44 20 7991 5599
dominic.kini@hsbcib.com

Song Jin Lee, CFA +44 20 7991 5259
songjin.lee@hsbc.com

Tom Russell, CFA +44 20 3359 5666
thomas.russell@hsbc.com